EXECUTIVE MEMO - COLLECTIONS PERFORMANCE

Bottom line: The reported +11% MoM recovery increase is numerically correct for Feb→Mar 2026 (11.03% after payment-ID dedupe), but it is a one-month spike, not proof of sustained operational improvement. Jan-Jul clean recovery is statistically flat (trend p=0.89).

What happened?

Clean recovery rises from ₹17.01 Cr in February to ₹18.89 Cr in March. On targeted-account exposure the recovery rate moves from 1.55% to 1.95% (+25.9% relative). Standardizing March to February DPD×risk×loan mix still gives +26.2%, so those mix dimensions do not explain the spike. April then declines, and there is no sustained Jan-Jul trend.

Why / how confident?

Data quality is materially weak: event borrower identity disagrees with the account master in ~98% of event rows, duplicate payments/calls/messages exist, and master/history timestamps conflict. After correcting primary-key duplicates and using account_id as source of truth, the 11% direction remains. Bootstrap 95% interval for the targeted-rate relative Feb→Mar change is about 7.9% to 47.9%. Confidence that March improved versus February: High. Confidence that operations structurally improved: Low.

What should we do?

Choose Better Borrower Targeting as the ₹10 Cr investment area, but stage-gate deployment. Existing priority is not monotonic with recovery, indicating ranking headroom. Telephony vendor contact rates are tightly clustered and there is no direct AI-voice treatment or reliable channel cost table. The full investment needs ~0.43 pp incremental annual recovery to break even; current observational evidence does not prove this hurdle. Run a stratified randomized holdout and release funding only after the lower confidence bound clears the hurdle while complaints/PTP-kept remain stable.

Financial impact

Scenario	Lift	Incremental recovery	1-year ROI
Downside	0.10 pp	₹2.35 Cr	-76.5%
Evidence-based base	0.20 pp	₹4.69 Cr	-53.1%
Upside / hurdle	0.50 pp	₹11.76 Cr	17.6%

Decision discipline: do not convert a one-month KPI increase into a structural-growth story. Fix identity/metric governance, prove targeting incrementality, then scale.